

[Home](#) > [My Courses](#) > [Financial Markets](#) > [M1: Credit Risk and Financing](#) > FM Graded Quiz M1

FM Graded Quiz M1



Time left:
59:47

Question 1

What is the main purpose of shorting in financial markets?

- ☐ To increase the volatility of asset prices
- ☐ To ensure that all investors make a profit
- ☐ To prevent assets from becoming overvalued
- ☐ To make it easier for companies to raise capital

QUESTIONS

X	X	X	X
X	X	X	X
X	X	X	X
X	X	X	X

Question 2

Suppose an investor buys a 5-year zero-coupon bond with a face value of \$1,000 for \$750. What is the investor's annual yield?

- ☐ 7.50%
- ☐ 5.92%
- ☐ 5.00%
- ☐ 6.67%

Question 3

Design a bond with a face value of your choice, a coupon rate, maturity, and payment frequency. Calculate the total coupon payments over the life of the bond.

- ☐ Face value: \$500,000 \
- Coupon rate: 5.5% \
- Maturity: 6 years \
- Payment frequency: Annual \
- Total coupon payments = $0.055 \times 6 = 0.33$
- ☐ Face value: \$500,000
- Coupon rate: 5.5%
- Maturity: 6 years
- Payment frequency: Annual
- Total coupon payments = $500,000 \times 6 = \$3,000,000$
- ☐ Face value: \$500,000
- Coupon rate: 5.5%
- Maturity: 6 years
- Payment frequency: Annual
- Total coupon payments = $500,000 \times 0.055 \times 6 = \$165,000$
- ☐ Face value: \$500,000
- Coupon rate: 5.5%
- Maturity: 6 years
- Payment frequency: Annual
- Total coupon payments = $500,000 \times 0.055 = \$27,500$

Question 4

What is the main purpose of financial regulation?

- ☐ To ensure the safety and protection of the interests of stakeholders
- ☐ To increase the profits of financial institutions
- ☐ To allow financial institutions to operate without any rules
- ☐ To make it easier for financial institutions to break the rules

Question 5

How does inflation impact the purchasing power of money over time?

- ☐ Inflation has no impact on the purchasing power of money over time
- ☐ Inflation and purchasing power are not related
- ☐ Inflation decreases the purchasing power of money over time
- ☐ Inflation increases the purchasing power of money over time

Question 6

Which of the following is NOT a function of investment banks?

- ☐ Underwriting securities
- ☐ Providing research for clients
- ☐ Accepting deposits from the general public
- ☐ Assisting with IPO issuance

Question 7

Robert wants to save \$50,000 in 5 years. He can invest his money at a 4% annual interest rate, compounded monthly. How much should he invest today to reach his goal?

- ☐ \$42,224.54
- ☐ \$40,950.16
- ☐ \$38,006.25
- ☐ \$45,120.98

Question 8

Based on the information provided in the lesson, analyze why commercial real estate properties may remain vacant for extended periods.

- ☐ The offer price for commercial real estate often exceeds the bid price by a large amount leading to a lack of transactions
- ☐ Commercial real estate properties have high maintenance costs
- ☐ Commercial real estate properties are not in demand
- ☐ Shorting commercial real estate is not allowed

Question 9

Suppose Bond PQU has a face value of \$1,000,000, an annual coupon rate of 4.5%, annual coupon payments, and 5 years to maturity. If the current market interest rate is 5%, what is the price of the bond?

- ☐ \$1,000,000
- ☐ \$978,353

☐ \$950,000☐ \$850,235

Question 10

The US Treasury issues a bond with a face value of \$50,000,000, a coupon rate of 3%, and a maturity of 10 years. If the bond pays semi-annual coupons, how much will the Treasury pay in each coupon payment?

☐ \$1,500,000☐ \$3,000,000☐ \$375,000☐ \$750,000

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Question 11

Given the risks and benefits of bonds and savings accounts, would you recommend investing in bonds or putting money in a savings account? Why?

- ☐ I would recommend investing in bonds because they are a completely safe investment, just like savings accounts.
- ☐ I would recommend putting money in a savings account because it is the safest option, also the potential return is higher.
- ☐ I would recommend putting money in a savings account because it offers the potential for high returns, even though it is riskier than bonds.
- ☐ I would recommend investing in bonds because they offer the potential for higher returns, even though they come with more risk.

Question 12

Analyze the relationship between the creditworthiness of a borrower and the interest rate they are likely to be offered.

- ☐ Creditworthiness has no impact on the interest rate offered to borrowers
- ☐ The relationship between creditworthiness and interest rates is random
- ☐ Borrowers with lower creditworthiness are likely to be offered lower interest rates
- ☐ Borrowers with higher creditworthiness are likely to be offered lower interest rates

Question 13

What is the main difference between default risk and credit risk?

- ☐ Default risk is an extreme form of credit risk
- ☐ Default risk is the risk of inflation, while credit risk is the risk of price fluctuations
- ☐ Credit risk is the risk of fraud, while default risk is the risk of concentration
- ☐ Credit risk only applies to bonds, while default risk applies to all investments

Question 14

An investor purchases a bond that pays 5% annual interest, with a face value of \$1,000 and a term of 3 years. If the investor sells the bond after 2 years for \$950, what is the investor's realized annual compound return?

- ☐ 3.50%
- ☐ 4.25%
- ☐ 5.00%
- ☐ 2.47%

Question 15

Evaluate the following statement: "Shorting is a low-risk investment strategy because the potential losses are limited."

- ☐ False - Shorting can lead to unlimited potential losses if the price of the security increases
- ☐ True - Shorting has limited potential losses because the price of a security can only fall to zero

- ☐ True - Shorting is low-risk because it allows investors to profit from falling prices
- ☐ False - Shorting has limited potential losses but unlimited potential gains

Question 16

Bond JKL has a face value of \$100,000, an annual coupon rate of 6%, pay semi-annually, 3 years to maturity, and is currently trading at \$98,000. What is the implied YTM of the bond?

- ☐ 8.50%
- ☐ 6.75%
- ☐ 7.55%
- ☐ 6.25%

SUBMIT